ENGROSSED HOUSE AMENDMENT
TO
ENGROSSED SENATE BILL NO. 169

By: Hall, Haste, and Goodwin of the Senate

and

Kane of the House

An Act relating to state government; amending 74 O.S. 2021, Section 840-2.18, as last amended by Section 1, Chapter 18, 1st Extraordinary Session, O.S.L. 2023 (74 O.S. Supp. 2025, Section 840-2.18), which relates to longevity pay; increasing longevity amounts for certain state employees; updating statutory language; updating statutory references; and providing an effective date.

AUTHORS: Add the following House Coauthors: Fugate, Timmons, Provenzano, Alonso-Sandoval, Deck, Menz, Stark, and Pogemiller

AMENDMENT NO. 1. Strike the title, enacting clause, and entire bill and insert:

"An Act relating to state government; amending 74 O.S. 2021, Section 840-2.18, as last amended by Section 1, Chapter 18, 1st Extraordinary Session, O.S.L. 2023 (74 O.S. Supp. 2025, Section 840-2.18), which relates to longevity pay; increasing longevity amounts for certain state employees; updating statutory language; updating statutory references; providing an effective date; and declaring an emergency.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 74 O.S. 2021, Section 840-2.18, as last amended by Section 1, Chapter 18, 1st Extraordinary Session, O.S.L. 2023 (74 O.S. Supp. 2025, Section 840-2.18), is amended to read as follows:

Section 840-2.18. A. A longevity pay plan is hereby adopted. This plan applies to all state employees, excluding members of boards and commissions, institutions under the administrative authority of the Oklahoma State Regents for Higher Education, employees of public school districts, and elected officials. The plan shall also apply to those employees of the Oklahoma School for the Blind and the Oklahoma School for the Deaf who qualify for longevity pay in accordance with subsection G of Section 1419 of Title 10 of the Oklahoma Statutes.

B. The Oklahoma Conservation Commission is hereby authorized to establish a longevity pay program for employees of the conservation districts employed under Section 3-3-103 of Title 27A of the Oklahoma Statutes. Such longevity pay program shall be consistent with the longevity pay program for state employees authorized under this title and payments shall be made in a manner consistent with procedures for reimbursement to conservation districts.

C. To be eligible for longevity pay, employees must have been continuously employed in the service of the state for a minimum of two (2) years in full-time status or in part-time status working more than one thousand (1,000) hours a year.

For purposes of this section, a break in service of thirty (30) calendar days or less shall not be considered an interruption of continuous service; a break in service of more than thirty (30) calendar days shall mark an end to continuous service. The legislative session employees who have worked for two (2) years or more in part-time status and are eligible for state retirement benefits, but do not receive other longevity payments, shall be eligible and shall be considered to have been continuously employed for purposes of calculating longevity payments, notwithstanding the provisions of subsection E of this section.

D. 1. Longevity pay for the first twenty (20) years of service shall be determined pursuant to the following schedule:

Years of Service	Annual Longevity Payment
At least 2 years but less than 4 years	~~$250.00~~ $375.00
At least 4 years but less than 6 years	~~$426.00~~ $639.00
At least 6 years but less than 8 years	~~$626.00~~ $939.99
At least 8 years but less than 10 years	~~$850.00~~ $1,275.00
At least 10 years but less than 12 years	~~$1,062.00~~ $1,593.00

At least 12 years but less than 14 years	~~$1,250.00~~ _$1,875.00_
At least 14 years but less than 16 years	~~$1,500.00~~ _$2,250.00_
At least 16 years but less than 18 years	~~$1,688.00~~ _$2,532.00_
At least 18 years but less than 20 years	~~$1,900.00~~ _$2,850.00_
At least 20 years	~~$2,000.00~~ _$3,000.00_

2. For each additional two (2) years of service after the first twenty (20) years an additional ~~Two Hundred Dollars ($200.00)~~ _Three Hundred Dollars ($300.00)_ shall be added to the amount stated above for twenty (20) years of service.

The total amount of the annual longevity payment made to an employee by any and all state agencies in any year shall not exceed the amount shown on the table corresponding to that employee's years of service with the state~~, except as otherwise provided by Section 840-2.28 of this title~~. Further, no employee shall receive duplicating longevity payments for the same periods of service with any and all agencies~~, except as otherwise provided by Section 840-2.28 of this title~~.

E. To determine years of service, cumulative periods of full-time employment or part-time employment working more than one hundred fifty (150) hours per month with the state excluding service as specified in subsection A of this section are applicable. Part-time employment, working one hundred fifty (150) hours per month or less for the state, excluding service as specified in subsection A of this section, shall be counted only if:

1. The period of employment was continuous for at least five (5) months; and

2. a. The person worked more than two-fifths (2/5) time.

Other employment shall not be counted as service for purposes of longevity payments. Further, no period of employment with the state, whether with one or more than one agency, shall be counted as more than full-time service.

b. For purposes of the computation required by this section, any service performed by a person during which the person received compensation for duties performed for the state shall be counted if payment for such service was made using state fiscal resources. The provisions of this ~~paragraph~~ subparagraph shall not apply to elected or appointed justices or judges, including special judges, who perform services in the trial or appellate courts. The provisions of this section shall apply to persons who perform services as an administrative law judge within the executive department and employees of the judicial branch.

F. Years of service under the administrative authority of the Oklahoma State Regents for Higher Education or the administrative authority of the Oklahoma Department of Career and Technology Education of any employee who is now employed in a job classification which is eligible for longevity pay shall be included in years of service for purposes of determining longevity pay.

G. Years of service shall be certified through the current employing agency by the appointing authority on a form approved by the Office of Management and Enterprise Services. The form shall be completed and posted as directed by the Director of the Office of Management and Enterprise Services by the current employing agency when the employee initially enters on duty with the agency and thereafter whenever the employee's anniversary date is changed.

H. Eligible employees, in full-time status or in part-time status working more than one hundred fifty (150) hours per month, shall receive one (1) lump-sum annual payment, in the amount provided on the preceding schedule, during the month following the anniversary date of the employee's most recent enter-on-duty day with the state. Upon implementation of the statewide information systems project, the lump-sum annual payment may be paid concurrent with the final payroll of the month of the employee's anniversary date. Eligible part-time employees who work one hundred fifty (150) hours per month or less shall receive one (1) lump-sum annual payment, based on the formula in subsection L of this section, during the month following the anniversary date of the employee's most recent enter-on-duty day with the state. To receive longevity pay an employee must be in pay status on or after his or her anniversary date.

Eligible employees who would not otherwise receive annual longevity payments because their employment includes regular periods of leave without pay in excess of thirty (30) calendar days shall receive one (1) lump-sum annual payment, based on the formula in subsection L of this section, during:

1. The month of August if the employee is in pay status on July 1; or

2. During the month following the employee's first return to duty that fiscal year if the employee is not in pay status on July 1.

~~Except as otherwise provided by Section 840-2.28 of this title, employees~~ Employees terminated as a result of a reduction-in-force or retiring from state employment shall receive upon ~~said~~ such termination or retirement the proportionate share of any longevity payment which may have accrued as of the date of termination or retirement. Provided further, that~~,~~ the proportionate share of any longevity payment which may have accrued as of the date of death of an employee shall be made to the surviving spouse of the employee or if there is no surviving spouse to the estate of the employee.

I. Periods of leave without pay taken in accordance with Section 840-2.21 of this title shall be counted as service. Other periods of nonpaid leave status in excess of thirty (30) calendar days shall not mark a break in service; however, they shall:

1. Not be used in calculating total months of service for longevity pay purposes; and

2. Extend the anniversary date for longevity pay by the total period of time on nonpaid leave status except as provided in subsection H of this section for employees whose conditions of employment include regular periods of leave without pay.

J. Employees currently receiving longevity pay who work for the Oklahoma Department of Career and Technology Education shall not be eligible for the longevity pay plan provided for in this section.

K. A break in service with the state in excess of thirty (30) days but which does not exceed two (2) years which was caused by a reduction-in-force shall be treated as if it were a period of nonpaid leave status as provided for in subsection I of this section for the purpose of calculating total months of service for longevity pay. This subsection shall only apply to state employees laid off after June 30, 1982.

L. Eligible part-time employees working less than one hundred fifty (150) hours per month and other eligible employees with regular annual periods of leave without pay of more than thirty (30) calendar days will receive a prorated share of the "Annual Longevity

Payment" authorized in subsection D of this section. The prorated amount of payment will be based on actual hours worked in the immediately preceding twelve (12) months.

M. An employee shall not be entitled to retroactive longevity payments as a result of amendments to this section unless specifically authorized by law.

N. The Director of the Office of Management and Enterprise Services is authorized to promulgate such ~~Longevity Pay Plan Rules~~ longevity pay plan rules as he or she finds necessary to carry out the provisions of this section.

O. As of July 1, 1998, years of service with a city-county health department for employees who left a city-county health department for employment with the Department of Environmental Quality or the Oklahoma Department of Agriculture, Food, and Forestry, between July 1, 1993, and July 1, 1998, and who are now employed in a job classification that is eligible for longevity pay pursuant to this section, shall be included in years of service for purposes of determining longevity pay subsequent to July 1, 1998.

P. As of July 1, 2003, years of service with a local conservation district shall be included in years of service for purposes of determining longevity pay for local conservation district employees transferred to the Oklahoma Conservation Commission pursuant to the provisions of this section.

SECTION 2. This act shall become effective July 1, 2026.

SECTION 3. It being immediately necessary for the preservation of the public peace, health or safety, an emergency is hereby declared to exist, by reason whereof this act shall take effect and be in full force from and after its passage and approval."

Passed the House of Representatives the 13th day of April, 2026.

____
Presiding Officer of the House of Representatives

Passed the Senate the ____ day of __________, 2026.

____
Presiding Officer of the Senate

ENGROSSED SENATE
BILL NO. 169

By: Hall, Haste, and Goodwin of the Senate

and

Kane of the House

An Act relating to state government; amending 74 O.S. 2021, Section 840-2.18, as last amended by Section 1, Chapter 18, 1st Extraordinary Session, O.S.L. 2023 (74 O.S. Supp. 2025, Section 840-2.18), which relates to longevity pay; increasing longevity amounts for certain state employees; updating statutory language; updating statutory references; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 4. AMENDATORY 74 O.S. 2021, Section 840-2.18, as last amended by Section 1, Chapter 18, 1st Extraordinary Session, O.S.L. 2023 (74 O.S. Supp. 2025, Section 840-2.18), is amended to read as follows:

Section 840-2.18. A. A longevity pay plan is hereby adopted. This plan applies to all state employees, excluding members of boards and commissions, institutions under the administrative authority of the Oklahoma State Regents for Higher Education, employees of public school districts, and elected officials. The plan shall also apply to those employees of the Oklahoma School for the Blind and the Oklahoma School for the Deaf who qualify for longevity pay in accordance with subsection G of Section 1419 of Title 10 of the Oklahoma Statutes.

B. The Oklahoma Conservation Commission is hereby authorized to establish a longevity pay program for employees of the conservation districts employed under Section 3-3-103 of Title 27A of the Oklahoma Statutes. Such longevity pay program shall be consistent with the longevity pay program for state employees authorized under this title and payments shall be made in a manner consistent with procedures for reimbursement to conservation districts.

C. To be eligible for longevity pay, employees must have been continuously employed in the service of the state for a minimum of two (2) years in full-time status or in part-time status working more than one thousand (1,000) hours a year.

For purposes of this section, a break in service of thirty (30) calendar days or less shall not be considered an interruption of continuous service; a break in service of more than thirty (30) calendar days shall mark an end to continuous service. The legislative session employees who have worked for two (2) years or more in part-time status and are eligible for state retirement benefits, but do not receive other longevity payments, shall be eligible and shall be considered to have been continuously employed for purposes of calculating longevity payments, notwithstanding the provisions of subsection E of this section.

D. 1. Longevity pay for the first twenty (20) years of service shall be determined pursuant to the following schedule:

Years of Service	Annual Longevity Payment
At least 2 years but less than 4 years	~~$250.00~~ $375.00
At least 4 years but less than 6 years	~~$426.00~~ $639.00
At least 6 years but less than 8 years	~~$626.00~~ $939.99
At least 8 years but less than 10 years	~~$850.00~~ $1,275.00
At least 10 years but less than 12 years	~~$1,062.00~~ $1,593.00
At least 12 years but less than 14 years	~~$1,250.00~~ $1,875.00
At least 14 years but less than 16 years	~~$1,500.00~~ $2,250.00
At least 16 years but less than 18 years	~~$1,688.00~~ $2,532.00
At least 18 years but less than 20 years	~~$1,900.00~~ $2,850.00
At least 20 years	~~$2,000.00~~ $3,000.00

2. For each additional two (2) years of service after the first twenty (20) years an additional ~~Two Hundred Dollars ($200.00)~~ Three

Hundred Dollars ($300.00) shall be added to the amount stated above for twenty (20) years of service.

The total amount of the annual longevity payment made to an employee by any and all state agencies in any year shall not exceed the amount shown on the table corresponding to that employee's years of service with the state~~, except as otherwise provided by Section 840-2.28 of this title~~. Further, no employee shall receive duplicating longevity payments for the same periods of service with any and all agencies~~, except as otherwise provided by Section 840-2.28 of this title~~.

E. To determine years of service, cumulative periods of full-time employment or part-time employment working more than one hundred fifty (150) hours per month with the state excluding service as specified in subsection A of this section are applicable. Part-time employment, working one hundred fifty (150) hours per month or less for the state, excluding service as specified in subsection A of this section, shall be counted only if:

1. The period of employment was continuous for at least five (5) months; and

2. a. The person worked more than two-fifths (2/5) time.

Other employment shall not be counted as service for purposes of longevity payments. Further, no period of employment with the state, whether with one or more than one agency, shall be counted as more than full-time service.

b. For purposes of the computation required by this section, any service performed by a person during which the person received compensation for duties performed for the state shall be counted if payment for such service was made using state fiscal resources. The provisions of this ~~paragraph~~ subparagraph shall not apply to elected or appointed justices or judges, including special judges, who perform services in the trial or appellate courts. The provisions of this section shall apply to persons who perform services as an administrative law judge within the executive department and employees of the judicial branch.

F. Years of service under the administrative authority of the Oklahoma State Regents for Higher Education or the administrative authority of the Oklahoma Department of Career and Technology Education of any employee who is now employed in a job classification which is eligible for longevity pay shall be included in years of service for purposes of determining longevity pay.

G. Years of service shall be certified through the current employing agency by the appointing authority on a form approved by the Office of Management and Enterprise Services. The form shall be completed and posted as directed by the Director of the Office of Management and Enterprise Services by the current employing agency when the employee initially enters on duty with the agency and thereafter whenever the employee's anniversary date is changed.

H. Eligible employees, in full-time status or in part-time status working more than one hundred fifty (150) hours per month, shall receive one (1) lump-sum annual payment, in the amount provided on the preceding schedule, during the month following the anniversary date of the employee's most recent enter-on-duty day with the state. Upon implementation of the statewide information systems project, the lump-sum annual payment may be paid concurrent with the final payroll of the month of the employee's anniversary date. Eligible part-time employees who work one hundred fifty (150) hours per month or less shall receive one (1) lump-sum annual payment, based on the formula in subsection L of this section, during the month following the anniversary date of the employee's most recent enter-on-duty day with the state. To receive longevity pay an employee must be in pay status on or after his or her anniversary date.

Eligible employees who would not otherwise receive annual longevity payments because their employment includes regular periods of leave without pay in excess of thirty (30) calendar days shall receive one (1) lump-sum annual payment, based on the formula in subsection L of this section, during:

1. The month of August if the employee is in pay status on July 1; or

2. During the month following the employee's first return to duty that fiscal year if the employee is not in pay status on July 1.

~~Except as otherwise provided by Section 840-2.28 of this title, employees~~ Employees terminated as a result of a reduction-in-force or retiring from state employment shall receive upon ~~said~~ such termination or retirement the proportionate share of any longevity payment which may have accrued as of the date of termination or retirement. Provided further, that~~,~~ the proportionate share of any longevity payment which may have accrued as of the date of death of an employee shall be made to the surviving spouse of the employee or if there is no surviving spouse to the estate of the employee.

I. Periods of leave without pay taken in accordance with Section 840-2.21 of this title shall be counted as service. Other periods of nonpaid leave status in excess of thirty (30) calendar days shall not mark a break in service; however, they shall:

1. Not be used in calculating total months of service for longevity pay purposes; and

2. Extend the anniversary date for longevity pay by the total period of time on nonpaid leave status except as provided in subsection H of this section for employees whose conditions of employment include regular periods of leave without pay.

J. Employees currently receiving longevity pay who work for the Oklahoma Department of Career and Technology Education shall not be eligible for the longevity pay plan provided for in this section.

K. A break in service with the state in excess of thirty (30) days but which does not exceed two (2) years which was caused by a reduction-in-force shall be treated as if it were a period of nonpaid leave status as provided for in subsection I of this section for the purpose of calculating total months of service for longevity pay. This subsection shall only apply to state employees laid off after June 30, 1982.

L. Eligible part-time employees working less than one hundred fifty (150) hours per month and other eligible employees with regular annual periods of leave without pay of more than thirty (30) calendar days will receive a prorated share of the "Annual Longevity Payment" authorized in subsection D of this section. The prorated amount of payment will be based on actual hours worked in the immediately preceding twelve (12) months.

M. An employee shall not be entitled to retroactive longevity payments as a result of amendments to this section unless specifically authorized by law.

N. The Director of the Office of Management and Enterprise Services is authorized to promulgate such ~~Longevity Pay Plan Rules~~ longevity pay plan rules as he or she finds necessary to carry out the provisions of this section.

O. As of July 1, 1998, years of service with a city-county health department for employees who left a city-county health department for employment with the Department of Environmental Quality or the Oklahoma Department of Agriculture, Food, and Forestry, between July 1, 1993, and July 1, 1998, and who are now employed in a job classification that is eligible for longevity pay pursuant to this section, shall be included in years of service for purposes of determining longevity pay subsequent to July 1, 1998.

P. As of July 1, 2003, years of service with a local conservation district shall be included in years of service for purposes of determining longevity pay for local conservation district employees transferred to the Oklahoma Conservation Commission pursuant to the provisions of this section.

SECTION 5. This act shall become effective July 1, 2027.

Passed the Senate the 17th day of March, 2026.

____
Presiding Officer of the Senate

Passed the House of Representatives the ____ day of __________, 2026.

____
Presiding Officer of the House of Representatives